strengthen stereotypes about Eastern Europe as a socially backward, illiberal and intolerant place. Fears of the return of Fascism were even expressed in some places.

Instead of a comeback of the exiled, ousted or in some other way disenfranchised former business and social elite, a new middle-class has been emerging, often out of the post-Communist circles, but these new rich have been only slowly acquiring the attributes of such a class, above all its sense of social responsibility. Little or nothing has been done in Eastern Europe in terms of positive discrimination for the previously discriminated to compensate them for the fact that the legacy of the former regime has allowed a small section of the population to achieve an (economic) advantage over everyone else. The political transformation has not taken things back to the beginning and created a level playing field for everyone. Such measures were believed to be impossible to implement.

At the heart of the economic debate in countries in transition was rather the question of whether their governments should undergo shock therapy or should manage the change to a market economy in a more gradual way. The American economist Jeffrey Sachs was among those who advocated a rapid approach, and he was a frequent visitor to Eastern Europe. On the other hand, the Nobel laureate Joseph Stiglitz was very critical of this argument and he has been able to put forward the examples of Poland, Hungary and Slovenia as countries which took the less painful road of a gradualist approach that led to greater social and political stability and faster economic growth in the long term.[101] The advocates of shock therapy admitted that their approach does indeed lead to a drop in individual living standards in the short run but that this type of economic reform brings the promised gains later on. Using a graph with consumption on the vertical axis and time on the horizontal axis, they produced the so-called J curve, widely spoken about in conservative circles in Eastern Europe. They have also argued that a gradual approach in post-Communist economies has benefitted exactly those kinds of people described earlier: ‘[from] enterprise insiders who have become new owners only to strip their firms’ assets; [from] commercial bankers who have opposed macroeconomic stabilisation to preserve their enormously profitable arbitrage opportunities in distorted financial markets; [from] local officials who have prevented market entry into their regions to protect their share of local monopoly rents; and [from]